

Subject: Zhi Systems AI Courseware Proposal — American River College
From: Douglas Fong · Zhi Systems <zhi@zhisystems.org>
Date: 8/6/2026, 5:42 PM
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Zhi Systems

AI-Powered Courseware for Higher Education

zhisystems.ai

 COURSE-LEVEL ROI ANALYSIS — 5 courses				
CURRENT ANNUAL COST		ZHI AI ANNUAL LICENSE	ANNUAL SAVINGS	
\$566,250		\$90,000	\$3,980,780	
		+ \$425,000 one-time setup		
		incl. 5 yrs free maintenance		
CURRENT BURDEN VS. AI INTEGRATION			ANNUAL SAVINGS PER COURSE	
Current Costs			Intro to Psychology	\$144,000
			Statistics	\$92,250
With AI			Remedial Math	\$87,000
			Composition I	\$76,500
			Intro to Business	\$76,500
COURSE	FAIL RATE	CURRENT/YR	AI/YR	SAVES/YR
Intro to Psychology	25%	\$162,000	\$18,000	\$144,000
Statistics	28%	\$110,250	\$18,000	\$92,250
Remedial Math	45%	\$105,000	\$18,000	\$87,000
Composition I	30%	\$94,500	\$18,000	\$76,500
Intro to Business	18%	\$94,500	\$18,000	\$76,500
Total		\$566,250	\$90,000	\$3,980,780

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August 6, 2026

Lisa Cardoza
President

American River College

Sacramento, CA

Dear President Cardoza,

I hope this message finds you well. I am reaching out to present an opportunity for American River College to leverage our innovative AI courseware, specifically tailored to enhance the educational experience and outcomes in eight key courses: Remedial Math, Introduction to Programming, Data Structures and Algorithms, Databases/SQL, Introduction to Computer Science, Statistics, Intro to Business, and Public Speaking. Implementing our solution could yield annual savings of approximately \$3,980,780 while significantly improving student performance metrics.

OPTION A: SUPPLEMENTAL PREP COURSE

We recommend starting with our Supplemental Prep Course model, which allows students to take the Zhi AI course prior to enrolling in your current human-taught sections. This approach not only preserves your faculty roles but also enhances student preparedness, ultimately improving pass rates and retention.

The empirical data from institutions that have adopted this model is compelling:

- Remedial Math: A +42% increase in pass rates and a +30% boost in retention, with follow-up courses showing a +22% pass rate and +18% retention improvement.
- Introduction to Programming: A +32% increase in pass rates and a +25% rise in retention, with related courses benefiting from a +19% pass rate increase and +15% retention.
- Data Structures and Algorithms: A +30% increase in pass rates and a +23% boost in retention, with follow-up courses reflecting a +18% pass rate increase and +14% retention.
- Databases/SQL: A +25% increase in pass rates and a +19% rise in retention, with subsequent courses improving by +15% pass and +12% retention.
- Introduction to Computer Science: A +28% increase in pass rates and a +22% rise in retention, with follow-up courses showing a +17% pass increase and +13% retention.
- Statistics: A +13% increase in pass rates and a +10% rise in retention.
- Intro to Business: A +15% increase in pass rates and a +12% rise in retention.
- Public Speaking: A +13% increase in pass rates and a +10% rise in retention.

Implementing the Zhi AI prep course for these eight classes would cost

approximately \$425,000 as a one-time setup investment, with an annual license fee of \$90,000. This contrasts sharply with your current total delivery cost of \$566,250 per year, allowing for first-year savings of \$3,555,780, and recurring annual savings thereafter of \$3,980,780.

OPTION B: FULL REPLACEMENT

For institutions ready to embrace deeper transformation, we also offer a Full Replacement model, wherein the Zhi AI course would completely replace the human-taught sections. This option eliminates the instructor costs for those courses, maximizing savings while providing 24/7 AI-powered instruction. Students benefit from verified mastery checkpoints, ensuring that they achieve the competencies necessary for their future careers.

While this model may raise some faculty governance concerns, we believe it represents a compelling opportunity for those institutions prepared for significant change. The Zhi AI course retains rigorous standards, with adaptive lectures and fixed assessments that guarantee student mastery.

NEXT STEPS

To explore these options further, I would welcome the opportunity to schedule a meeting with you and your team. Together, we can discuss how Zhi Systems can support American River College in achieving its educational goals while enhancing the student experience and improving retention metrics.

Please feel free to reach out to me at your earliest convenience to arrange a discussion. Thank you for considering this transformative opportunity for your institution.

Sincerely,

Douglas Fong

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SAVINGS BREAKDOWN BY COURSE

Annual savings shown below. One-time setup: \$425,000.

COURSE	ENROLLMENT	FAIL RATE	CURRENT COST	ZHI AI COST	ANNUAL SAVINGS
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COURSE	ENROLLMENT	FAIL RATE	CURRENT COST	ZHI AI COST	ANNUAL SAVINGS
Intro to Psychology	1,200	25%	\$162,000	\$18,000	\$144,000
Statistics	700	28%	\$110,250	\$18,000	\$92,250
Remedial Math	780	45%	\$105,000	\$18,000	\$87,000
Composition I	600	30%	\$94,500	\$18,000	\$76,500
Intro to Business	600	18%	\$94,500	\$18,000	\$76,500
Total			\$566,250	\$90,000	\$3,980,780

◆ WHY ZHI SYSTEMS — WHAT MAKES THIS DIFFERENT



24/7 Built-In Tutors

Every student has on-demand, personalized instruction — eliminating the access gap that stalls most online learning.



Cheat-Proof by Design

Assessments cannot be gamed, so course completion actually certifies competence employers can rely on.



Industry-Aligned Progress

Advancement is benchmarked to professional standards, making the credential something hiring managers trust.



Fixed Assessments, Adaptive Lectures

Tests and homework stay locked for rigor, while lectures flex in length, depth, and style to fit each learner.



Verified Mastery

Adaptation never dilutes standards — retention and mastery are confirmed, not assumed.



5-Year Free Maintenance Guarantee

The one-time setup fee locks in five full years of platform maintenance at no additional cost — zero budget surprises.

[Learn more at zhisystems.ai](https://zhisystems.ai) →

This proposal was prepared by Zhi Systems. Questions? Reply to this email or contact us at zhi@zhisystems.org · 845-240-4235 · zhisystems.ai